

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for the three months ended June 30, 2024
(Based on IFRS), unaudited

Company name: Japan Exchange Group, Inc. Stock Exchange Listings: Tokyo
Code number: 8697 URL: <https://www.jpx.co.jp/english/>
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Scheduled date of start of dividend payment: —
Preparation of supplementary material on financial results: Yes
Holding of financial results briefing: None

1. Consolidated financial results for the three months ended June 30, 2024

(from April 1, 2024 to June 30, 2024)

(Figures are rounded down to the nearest million yen)

(1) Consolidated operating results (cumulative)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Comprehensive income	
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%
Three months ended June 30, 2024	40,328	9.1	23,291	(7.0)	23,293	(7.1)	16,161	(10.4)	15,768	(11.1)	16,219	(10.2)
Three months ended June 30, 2023	36,953	10.1	25,038	40.8	25,068	40.9	18,046	46.2	17,736	46.7	18,069	46.1

	Basic earnings per share	Diluted earnings per share
	yen	yen
Three months ended June 30, 2024	30.31	—
Three months ended June 30, 2023	34.08	—

(2) Consolidated financial position

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of June 30, 2024	83,289,342	322,844	312,245	0.4
As of March 31, 2024	80,682,627	338,566	328,359	0.4

Note: Sizable amounts of "clearing business financial assets and liabilities" and "deposits from clearing participants" pertaining to the clearing business conducted by consolidated subsidiary Japan Securities Clearing Corporation are included in the assets and liabilities of JPX Group (meaning JPX and its subsidiaries). For JPX Group's financial position excluding "clearing business financial assets and liabilities" and "deposits from clearing participants," etc., see "1. OVERVIEW OF OPERATING RESULTS AND FINANCIAL POSITION - (2) Overview of Financial Position" on page 4 of the Appendix.

2. Dividends

	Annual dividends per share				
	First quarter-end	Second quarter-end	Third quarter-end	Fiscal year-end	Total
	yen	yen	yen	yen	yen
Year ended March 31, 2024	—	31.00	—	60.00	91.00
Year ending March 31, 2025	—				
Year ending March 31, 2025 (forecast)		31.00	—	15.50	—

Note 1: Change in dividend forecast from the most recent announcement: None

Note 2: Breakdown of year-end dividend for the fiscal year ended March 31, 2024: ordinary dividend ¥40; special dividend ¥20.

Please note that due to a 2-for-1 stock split which is scheduled to be conducted effective October 1, 2024, the year-end dividend forecast for the fiscal year ending March 31, 2025 is calculated based on the number of outstanding shares after the stock split.

If the stock split were not considered, the year-end dividend forecast for the fiscal year ending March 31, 2025 would be ¥31.00.

3. Consolidated earnings forecast for the fiscal year ending March 31, 2025 (from April 1, 2024 to March 31, 2025)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Basic earnings per share
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	
Year ending March 31, 2025	152,000	(0.6)	79,000	(9.7)	79,000	(9.6)	54,500	(12.0)	53,500	(12.0)	51.43

Note: Change in earnings forecast from the most recent announcement: None

Please note that due to a 2-for-1 stock split which is scheduled to be conducted effective October 1, 2024, basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 are calculated based on the average number of shares after the stock split.

If the stock split were not considered, the basic earnings per share of the consolidated earnings forecast for the year ending March 31, 2025 would be ¥102.85.

Notes:

(1) Significant changes in the scope of consolidation during the period: None

(2) Changes in accounting policies/changes in accounting estimates

1) Changes in accounting policies due to revisions in accounting standards under IFRS: None

2) Changes in accounting policies other than the above: None

3) Changes in accounting estimates: None

(3) Number of issued shares (common shares)

1) Number of issued shares at the end of the period (including treasury shares):

As of June 30, 2024: 522,289,183

As of March 31, 2024: 522,289,183

2) Number of treasury shares at the end of the period:

As of June 30, 2024: 2,126,614

As of March 31, 2024: 1,975,211

3) Average number of shares:

Three months ended June 30, 2024: 520,194,170

Three months ended June 30, 2023: 520,398,562

• Review of the Japanese-language originals of the attached consolidated quarterly financial statements by certified public accountants or an audit firm: None

• Explanation on appropriate use of forecast and other special items

This material contains an earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

Due to a 2-for-1 stock split which is scheduled to be conducted effective October 1, 2024, the basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 are calculated based on an average number of shares after the stock split of 1,040,340,895 shares.

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(Appendix)

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1. OVERVIEW OF OPERATING RESULTS AND FINANCIAL POSITION

(1) Overview of Operating Results

During the consolidated cumulative first quarter (from April 1, 2024 to June 30, 2024), JPX Group recorded operating revenue of ¥40,328 million (increased 9.1% from the same period of the previous fiscal year (i.e., year on year)), and operating expenses were ¥17,510 million (increased 2.2% year on year). As a result, JPX Group recorded operating income of ¥23,291 million (decreased 7.0% year on year) and income before income tax of ¥23,293 million (decreased 7.1% year on year).

In addition, net income attributable to owners of the parent company after tax was ¥15,768 million (decreased 11.1% year on year).

(Operating revenue)

1) Trading services revenue

Trading services revenue comprises "transaction fees" based on the value of cash equities traded or volume of financial and commodity derivatives traded, "basic fees" based on the types of the trading participant's trading qualification, "access fees" based on the number of orders, "trading system facilities usage fees" based on the types of trading system facilities used, and other similar fees.

During the consolidated cumulative first quarter, trading services revenue increased 8.2% year on year to ¥16,354 million due mainly to an increase in revenue from transaction fees resulting from a year-on-year increase in trading value of cash equities.

Breakdown of trading services revenue

(Mil. yen)

	Three months ended June 30, 2023	Three months ended June 30, 2024	Change (%)
Trading services revenue	15,118	16,354	8.2
Transaction fees	12,606	13,755	9.1
Cash equities	9,280	10,812	16.5
Financial derivatives	2,959	2,408	(18.6)
TOPIX Futures	566	449	(20.8)
Nikkei 225 Futures*	1,179	1,007	(14.6)
Nikkei 225 Options**	790	413	(47.7)
10-year JGB Futures	376	605	60.9
Others	46	(66)	—
Commodity derivatives	366	534	45.7
Basic fees	245	241	(1.7)
Access fees	1,296	1,377	6.2
Trading system facilities usage fees	940	951	1.2
Others	28	28	(2.1)

*Figures include Nikkei 225 mini Futures.

**Figures exclude Nikkei 225 Weekly Options.

2) Clearing services revenue

Clearing services revenue comprises clearing fees related to the assumption of obligations of financial instrument transactions carried out by Japan Securities Clearing Corporation and other similar fees.

During the consolidated cumulative first quarter, clearing services revenue increased 7.9% year on year to ¥8,602 million.

3) Listing services revenue

Listing services revenue comprises "initial/additional listing fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, "annual listing fees" received from listed companies based on their market capitalization, and other similar fees.

During the consolidated cumulative first quarter, listing services revenue increased 3.5% year on year to ¥3,754 million due mainly to an increase in revenue from annual listing fees.

Breakdown of listing services revenue

(Mil. yen)

	Three months ended June 30, 2023	Three months ended June 30, 2024	Change (%)
Listing services revenue	3,627	3,754	3.5
Initial/additional listing fees	726	592	(18.4)
Annual listing fees	2,901	3,161	9.0

4) Information services revenue

Information services revenue comprises mainly of market information fees, which consist of revenue related to the provision of market information to information vendors, etc., and revenue related to the index business.

During the consolidated cumulative first quarter, information services revenue increased 14.1% year on year to ¥8,146 million due mainly to increases in revenue from market information fees and the index business.

5) Other operating revenue

Other operating revenue includes mainly usage fees for arrownet, which connects trading, market information, and other systems to trading participants and other users, and usage fees related to co-location services that allow trading participants, information vendors, and other users to install devices in the system center for the purpose of improving trade execution efficiency by shortening order transmission time.

During the consolidated cumulative first quarter, other operating revenue increased 12.3% year on year to ¥3,470 million.

Breakdown of other operating revenue

(Mil. yen)

	Three months ended June 30, 2023	Three months ended June 30, 2024	Change (%)
Other operating revenue	3,090	3,470	12.3
arrownet usage fees	831	889	7.0
Co-location services usage fees	1,229	1,462	18.9
Other	1,029	1,118	8.6

(Operating expenses)

During the consolidated cumulative first quarter, personnel expenses increased 13.0% year on year to ¥5,558 million. System maintenance and operation expenses include expenses related to maintenance and management/operations of various systems including the cash equities and derivatives trading systems. System maintenance and operation expenses increased 5.4% year on year to ¥5,081 million.

Depreciation and amortization increased 0.6% year on year to ¥4,634 million.

Other operating expenses decreased 19.9% year on year to ¥2,235 million.

(2) Overview of Financial Position

(Assets, liabilities, and equity)

For assets and liabilities of JPX Group, "clearing business financial assets and liabilities" assumed by Japan Securities Clearing Corporation as a clearing organization and "deposits from clearing participants" deposited by clearing participants as collateral are included under both assets and liabilities. "Clearing business financial assets and liabilities" and "deposits from clearing participants" have a large impact on the amount of assets and liabilities of JPX Group due to their sizable amounts and daily fluctuations subject to changes in clearing participants' positions. In addition, "legal guarantee funds," "trading participant security money," and "default compensation reserve funds" based on the rules for securing safety of financial instruments transactions and other transactions are included under both assets and either liabilities or equity.

Total assets as of June 30, 2024 increased by ¥2,606,715 million from the end of the previous fiscal year to ¥83,289,342 million due mainly to an increase in "clearing business financial assets." Excluding "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," assets decreased by ¥23,826 million from the end of the previous fiscal year to ¥397,997 million.

Total liabilities as of June 30, 2024 increased by ¥2,622,436 million from the end of the previous fiscal year to ¥82,966,497 million due mainly to the same increase in "clearing business financial liabilities." Excluding "clearing business financial liabilities," "deposits from clearing participants," "legal guarantee funds," and "trading participant security money," liabilities decreased by ¥9,662 million from the end of the previous fiscal year to ¥92,657 million.

Total equity as of June 30, 2024 decreased by ¥15,721 million from the end of the previous fiscal year to ¥322,844 million, due to a capital reduction as a result of dividend payment despite a capital increase from net income attributable to owners of the parent company. In addition, after excluding "default compensation reserve funds," total equity as of the same date was ¥294,896 million.

Reference

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of June 30, 2024	83,289,342	322,844	312,245	0.4
	*397,997	*294,896	*284,297	*71.4
As of March 31, 2024	80,682,627	338,566	328,359	0.4
	*421,823	*310,618	*300,411	*71.2

Note: Figures marked * under total assets exclude "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," and those marked * under total equity and total equity attributable to owners of the parent company exclude "default compensation reserve funds."

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast

1) Consolidated Earnings Forecast

There are no revisions to the consolidated earnings forecast from the forecast figures announced in "Consolidated financial results for the fiscal year ended March 31, 2024 (Based on IFRS), unaudited" on April 30, 2024.

The consolidated earnings forecast for the fiscal year ending March 31, 2025 is based on the assumptions that the average daily trading values and volumes are ¥5 trillion for cash equities*, 45,000 contracts for 10-year JGB Futures, 108,000 contracts for TOPIX Futures, 189,000 contracts for Nikkei 225 Futures**, and ¥24.5 billion for Nikkei 225 Options.

*The trading value of stocks listed on the TSE Prime, Standard, and Growth Markets and TOKYO PRO Market, and that of ETFs, ETNs, and REITs, etc. (includes auction and off-auction trading)

**Includes Nikkei 225 mini contract volumes converted into large-sized contracts

2) Dividend Forecast

There are no revisions to the dividend forecast from the forecast figures announced in "Notice Regarding Stock Split as well as Related Items such as Amendment to Articles of Incorporation and Revision to Dividend Forecast" on May 13, 2024.

JPX adopts a dividend policy with a target payout ratio of approximately 60% tied to business performance while giving due consideration to the importance of internal reserves for the following purposes:

- Maintaining sound financial health as a financial instruments exchange group,
- Preparing for risks as a clearing organization, and
- Enabling JPX Group to pursue investment opportunities to raise the competitiveness of its markets as they arise.

2. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS AND NOTES

(1) Condensed Consolidated Statement of Financial Position

	As of March 31, 2024	As of June 30, 2024
	Mil. yen	Mil. yen
Assets		
Current assets		
Cash and cash equivalents	128,019	103,147
Trade and other receivables	19,550	22,105
Clearing business financial assets	70,741,262	73,975,808
Specified assets for deposits from clearing participants	9,490,971	8,886,971
Specified assets for legal guarantee funds	620	617
Income tax receivables	7,374	6,651
Other financial assets	110,810	108,310
Other current assets	2,619	2,100
Total current assets	80,501,228	83,105,711
Non-current assets		
Property and equipment	13,199	11,952
Goodwill	71,184	71,184
Intangible assets	32,768	35,958
Retirement benefit assets	791	776
Investments accounted for using the equity method	19,619	19,836
Specified assets for default compensation reserve funds	27,948	27,948
Other financial assets	3,449	3,539
Other non-current assets	5,897	5,848
Deferred tax assets	6,539	6,586
Total non-current assets	181,398	183,630
Total assets	80,682,627	83,289,342

	As of March 31, 2024	As of June 30, 2024
	Mil. yen	Mil. yen
Liabilities and equity		
Liabilities		
Current liabilities		
Trade and other payables	4,233	8,460
Bonds and loans payable	32,500	32,500
Clearing business financial liabilities	70,741,262	73,975,808
Deposits from clearing participants	9,490,971	8,886,971
Legal guarantee funds	620	617
Trading participant security money	8,885	10,442
Income tax payables	17,143	6,590
Other current liabilities	14,165	12,779
Total current liabilities	80,309,783	82,934,170
Non-current liabilities		
Bonds and loans payable	19,980	19,982
Retirement benefit liabilities	8,462	8,574
Other non-current liabilities	5,834	3,770
Total non-current liabilities	34,277	32,327
Total liabilities	80,344,060	82,966,497
Equity		
Share capital	11,500	11,500
Capital surplus	38,840	38,840
Treasury shares	(3,839)	(4,442)
Other components of equity	522	580
Retained earnings	281,336	265,767
Total equity attributable to owners of the parent company	328,359	312,245
Non-controlling interests	10,206	10,599
Total equity	338,566	322,844
Total liabilities and equity	80,682,627	83,289,342

(2) Condensed Consolidated Statement of Income

	Three months ended June 30, 2023	Three months ended June 30, 2024
	Mil. yen	Mil. yen
Revenue		
Operating revenue	36,953	40,328
Other revenue	4,744	16
Total revenue	41,697	40,344
Expenses		
Operating expenses	17,135	17,510
Other expenses	138	137
Total expenses	17,273	17,647
Share of income of investments accounted for using the equity method	614	594
Operating income	25,038	23,291
Financial income	56	36
Financial expenses	26	33
Income before income tax	25,068	23,293
Income tax expense	7,021	7,132
Net income	18,046	16,161
Net income attributable to		
Owners of the parent company	17,736	15,768
Non-controlling interests	310	392
Net income	18,046	16,161
Earnings per share		
Basic (Yen)	34.08	30.31
Diluted (Yen)	—	—

(3) Condensed Consolidated Statement of Comprehensive Income

	Three months ended June 30, 2023	Three months ended June 30, 2024
	Mil. yen	Mil. yen
Net income	18,046	16,161
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Net gain (loss) on revaluation of financial assets measured at fair value through other comprehensive income	22	58
Other comprehensive income, net of tax	22	58
Comprehensive income	18,069	16,219
Comprehensive income attributable to		
Owners of the parent company	17,758	15,826
Non-controlling interests	310	392
Comprehensive income	18,069	16,219

(4) Condensed Consolidated Statement of Changes in Equity

	Equity attributable to owners of the parent company			
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	11,500	38,841	(13,575)	445
Net income	—	—	—	—
Other comprehensive income, net of tax	—	—	—	22
Total comprehensive income	—	—	—	22
Acquisitions of treasury shares	—	—	(3,367)	—
Dividends paid	—	—	—	—
Other	—	(0)	233	—
Total transactions with the owners	—	(0)	(3,133)	—
Balance as of June 30, 2023	11,500	38,840	(16,709)	467

	Equity attributable to owners of the parent company		Non-controlling interests	Total equity
	Retained earnings	Total		
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	275,523	312,734	9,075	321,809
Net income	17,736	17,736	310	18,046
Other comprehensive income, net of tax	—	22	—	22
Total comprehensive income	17,736	17,758	310	18,069
Acquisitions of treasury shares	—	(3,367)	—	(3,367)
Dividends paid	(19,371)	(19,371)	—	(19,371)
Other	—	233	—	233
Total transactions with the owners	(19,371)	(22,504)	—	(22,504)
Balance as of June 30, 2023	273,889	307,988	9,385	317,374

Equity attributable to owners of the parent company				
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	11,500	38,840	(3,839)	522
Net income	—	—	—	—
Other comprehensive income, net of tax	—	—	—	58
Total comprehensive income	—	—	—	58
Acquisitions of treasury shares	—	—	(726)	—
Dividends paid	—	—	—	—
Other	—	—	123	—
Total transactions with the owners	—	—	(603)	—
Balance as of June 30, 2024	11,500	38,840	(4,442)	580

Equity attributable to owners of the parent company				Non-controlling interests	Total equity
	Retained earnings	Total			
	Mil. yen	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	281,336	328,359	10,206	338,566	
Net income	15,768	15,768	392	16,161	
Other comprehensive income, net of tax	—	58	—	58	
Total comprehensive income	15,768	15,826	392	16,219	
Acquisitions of treasury shares	—	(726)	—	(726)	
Dividends paid	(31,337)	(31,337)	—	(31,337)	
Other	—	123	—	123	
Total transactions with the owners	(31,337)	(31,940)	—	(31,940)	
Balance as of June 30, 2024	265,767	312,245	10,599	322,844	

(5) Notes on Condensed Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Segment Information)

1) General Information

This information is omitted since the Group has a single segment consisting of the financial instruments exchange business.

2) Information about Products and Services

This information is omitted since similar information is disclosed in "(5) Notes on Condensed Consolidated Financial Statements - (Operating Revenue)".

(Note on Cash Flow)

The condensed consolidated statement of cash flows is omitted for the consolidated cumulative first quarter.

Depreciation and amortization expenses for the consolidated cumulative first quarter are as follows:

	Three months ended June 30, 2023	Three months ended June 30, 2024
	Mil. yen	Mil. yen
Depreciation and amortization	4,604	4,634

(Operating Revenue)

The breakdown of "operating revenue" is as follows:

	Three months ended June 30, 2023	Three months ended June 30, 2024
	Mil. yen	Mil. yen
Trading services revenue	15,118	16,354
Clearing services revenue	7,974	8,602
Listing services revenue	3,627	3,754
Information services revenue	7,142	8,146
Other	3,090	3,470
Total	36,953	40,328

(Operating Expenses)

The breakdown of "operating expenses" is as follows:

	Three months ended June 30, 2023	Three months ended June 30, 2024
	Mil. yen	Mil. yen
Personnel expenses	4,920	5,558
System maintenance and operation expenses	4,820	5,081
Depreciation and amortization	4,604	4,634
Other	2,789	2,235
Total	17,135	17,510

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